Bankers are Shying Away from Lending to Businesses

The credit provided by banks to businesses and households is captured as outstanding bank credit whereas the credit provided to governments is shown as investments. Total outstanding bank credit (other than to governments) was Rs 103.72 lakh crore as on 27 March 2020, the last reporting Friday of financial year 2019–20. Though there was a growth of Rs 2.67 lakh crore in the month of March 2020 alone, total bank credit to businesses and households increased by about Rs 6 lakh crore in the entire year of 2019–20. Annual credit growth turned out to be only 6 per cent. This was one of the lowest rates of growth of bank credit in India in many years.

The data of sectoral deployment of bank credit is available only for ‘about 90 per cent’ of outstanding bank credit. At the end of financial year 2019–20, sectoral deployment details of Rs 92.12 lakh crore of outstanding non-food gross bank credit are available. RBI provides data for four sectoral groups of borrowers: agriculture (which includes allied sectors), industry (micro, small, medium and large), services and personal loans. The first three categories are businesses; the last, household loans.

Household loans were in the order of Rs 25.54 lakh crore. Outstanding loans to businesses, of the total Rs 92.12 lakh crore of credit, were Rs 66.58 lakh crore. Business credit included agriculture and allied sectors’ credit of Rs 11.58 lakh crore, credit to industry of Rs 29.05 lakh crore and credit to services of Rs 25.95 lakh crore.

Services loans included credit of Rs 8.07 lakh crore to NBFCs. Excluding credit to NBFCs, banks’ credit to real economy businesses amounted to Rs 58.51 lakh crore. If we keep aside credit of Rs 11.58 lakh crore to agriculture, manufacturing and services, credit was only Rs 46.93 lakh crore.

A good chunk of credit to businesses—over 15 per cent, or Rs 10 lakh crore—was non-performing. Banks also have about 3 per cent of their